

Attorney Client Privilege

I suspect that the SCE Hydro proceeding should take a turn similar to PG&E's hydro. Can you stay on top of it? We estimate that Californian's would be better off if the rate freeze is maintained and a future value of the retained assets is assessed in order to avoid rate shock and maintain an orderly transition to the end of the freeze. For instance, we see the assets being worth the following on December 31, 2001:

Mohave & Four Corners \$2.7 billion

SCE Hydro \$1.6 billion

Palo Verde \$1.2 billion

SONGS \$2.8 billion

PG&E Hydro \$4.6 billion

Diablo Canyon \$4.0 billion

\$16.9 billion

You see this is over \$16.9 billion in assets on December 31, 2001. If these assets were valued as of January 1, 2001, these assets would be worth well over \$21 billion due to the current high market prices. The \$4 billion difference is due to the difference in net revenues these assets are expected to recover in 2001.

The current issue for the utilities and California is not a balance sheet and undercollection issue, but rather a cash flow and supply issue. We need to make sure that the CPUC and State Legislature understand the difference. The cash flow issue can be solved by signals that the utilities will not be stuck with the entire shortfall so that the investment community will lend the utilities money or a loan from the State's budget surplus. The supply issues is a tougher issue, but can be mitigated largely from a temporary lifting of Nox emission limits due to state emergencies, along with other potential solutions. The utilities are trying to end the rate freeze and using the cash flow issue as the reason; but their real reason is to get 100% CTC recovery, shift 100% risk to consumers, and get the windfall profits from this market for their retained generation, while putting customers in an unstable market. The best rate stabilization plan is to keep the rate freeze in place, let the market mobilize to (a) build power plants, (b) resolve default service, (c) allow large customers an opportunity to shop, and (d) get DSM projects underway for 2002 and beyond, reconcile the balance sheet by the end of 2001, re-evaluate the nuclear settlements to avoid windfall profits to utilities and rate shock to customers, and determine the additional recovery of shortfalls on a going forward basis over some extended period of time.

The last thing the State of California should do is to introduce the instability of the market to customers, driving away business and accelerating the State into a recession that will be difficult to recover from for many years. As I previously mentioned, the State will still need to address the issue of cash flows and supply, and will have to make some accommodations in order to avoid problems in California.

Roger

P.S. I read in the paper the CPUC President Lynch stated at the Decision Conference that it would be premature to end the rate freeze right now. Is this true? Do you think they understand it is more of a cash flow issue versus a balance sheet issue.

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cc:

Subject: Status of SCE's Divestitures

Roger --

Here is an update on what's going on with SCE's divestiture proceedings:

(1) Mohave -- this application has followed a weird course. SCE filed an application in October of 1999 to divest its share of Mohave. In a decision issued in April (D. 00-04-009) the Commission found that SCE's ownership of its interest in Mohave was no longer necessary or useful under Section 851 of the Public Utilities Code and authorized SCE to go ahead with an auction of its interest. In that order the Commission directed SCE to make a divestiture compliance filing after the auction was completed. SCE did that in June (AES was to purchase SCE's share for \$533 million). In September the Utility Workers Union of America filed a Petition in the proceeding asking to intervene in the proceeding and arguing that the sale of Mohave was no longer in the best interests of electric consumers in California. The Commission held a hearing on the petition. On December 5 (i.e., two days ago), the Commission issued a PD in which it granted the UWUA's petition and stayed any further action in the application until further order of the Commission. In other words, SCE is not authorized to make the sale to AES. The PD states that the issue of whether Mohave is "necessary and useful" under Section 851 standards will be subsumed in the Investigation into the Wholesale Market (I. 00-08-002).

(2) Palo Verde and Four Corners -- The application to divest these facilities was filed in May 2000. TURN filed an application to dismiss the application in November. No ruling on that motion has been issued as of yet. Currently the applications are still due to go to hearing in February 2001. What has just happened in the Mohave case, however, does not bode well for these applications.

(3) Hydro -- SCE's hydro application (filed in December of 1999) went to hearing in September of this year. As of yet there has been no PD.

Call if you have any further questions.

Jeanne